

jump-start in the property market. You can structure things in a particular way that gets the borrower – the first home buyer – to pay down the debt that is associated or secured by Mum and Dad's home as quickly as possible.

And, under the terms, there comes a time when they are no longer legally linked to the first home buyer's loan.

Trying to save a 20 per cent deposit for a basic \$600,000 home? You'll need \$120,000 for an 80 per cent loan that is exempt from LMI and does not attract fees and charges. And that steeple is hard to clear. By using a guarantor, you can offer the bank \$150,000 worth of Mum and Dad's house, plus a \$600,000 property that you want to buy, which the bank mostly owns.

'Now we are going to give the bank \$750,000 of value, and you say to the bank – can we get an 80 per cent loan on that?' Unkles says. 'Mum and Dad are not required to repay the loan, but if you as the borrower show that you are falling behind in the repayments and are unable to make them up, the bank has the right to take over your property and sell it on the market.'

The potential outcomes depend on whether your parents are guarantors on all or part of the loan, so seek professional, independent legal and financial advice on the best arrangement for you and your parents' circumstances. There are risks that need to be explored, and worst-case scenarios that need to be understood, before embarking on a guarantor arrangement.

## **The rise of the rentvester**

Dictionary.com declared 'complicit' the Word of the Year for 2017. But in real estate circles, the winning buzzword would have been 'rentvester' (rent-invester) – and this is work that your parents will be called upon to be complicit in.

Rentvesting refers to buying a property in a suburb you don't fancy living in, leasing it out and reaping capital growth, while you continue renting in a neighbourhood with the lifestyle you desire. It's gained momentum as an alternative to being an owner-occupier out of the gate.